SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

CN (HK) Limited ("CNHK") is a listed company incorporated in Hong Kong with various overseas subsidiaries, which all specialise in the provision of financial services and leasing of transportation equipments. Recently, CNHK has identified various tax issues derived from its current and potential businesses. The respective details are as follows:-

A. Exploration of aircraft leasing business

The management of CNHK has been exploring the opportunity of conducting aircraft leasing activities in Hong Kong with third-party airline operating companies in mainland China. With the availability of concessionary tax treatments provided to these activities under the relevant Inland Revenue Ordinance ("IRO") provisions enacted in recent year, the management of CNHK now resolves to set up a new subsidiary in Hong Kong exclusively for conducting the aircraft leasing business in the simplest framework in order to exploit the concessionary tax treatments.

B. Expatriate's salaries tax exposure

To facilitate the exploration of the abovesaid aircraft leasing business, CNHK requested the help from its Singapore affiliate company CN (Singapore) Pte Limited ("CNSING"), who possesses substantial aircraft leasing experiences in its local market, for providing advice and recommendation. In this connection, Mr Tan, the general manager in the aircraft leasing division of CNSING visited Hong Kong extensively in the year ended 31 March 2018 to provide advice and support to CNHK. Mr Tan was aware of the fact that he might be subject to salaries tax, but had no idea how to quantify the respective tax liabilities. The details of his remuneration and travel schedule for the year ended 31 March 2018 is attached in **Annex I**.

C. Tax implications on staff related award and payment

The human resources department of CNHK recently encountered two circumstances and was aware that these may lead to tax implications for both CNHK and respective staff. Details of the circumstances are summarised in **Annex II**.

D. Taiwan Project

CNHK was recently approached by a Taiwan shipping company requesting the provision of advisory services in evaluating the possibility of securing a syndicated loan for financing the acquisition of few vessels. To facilitate the evaluation work, CNHK would send a team of staff from Hong Kong to Taiwan for few weeks to conduct the work. The team will directly deliver the evaluation analysis to the management of the shipping company in Taiwan after the completion of the evaluation work. The management of CNHK would like to know if the respective income derived from this Taiwan project can be claimed as offshore in nature and would not be subject to profits tax.

In connection to the above, CNHK's Chief Executive Officer Mr Lau approached the company's Tax Director Mr Luk for help. Yet Mr Luk reluctantly revealed that he will soon resign from his present position and envisage setting up a tax consultancy practice as his profession, and will therefore be unlikely to assist Mr Lau to resolve the tax issues.

As Mr Luk has been serving CNHK for more than two decades in its tax department, Mr Lau would appoint Mr Luk as an independent tax consultant upon commencement of his tax practice in resolving the respective tax issues.

Annex I

Mr Tan
Information of remuneration and travel details
For the year ended 31 March 2018

A. Details of remuneration

Nature	Amount (Converted into HK$)
• Salary	1,638,000
• Discretionary bonus	434,800
• Cash award for passing the graduation examination as lawyer in Singapore	78,000
• Education allowance	39,000

B. Dates of visit to Hong Kong

Date of arrival to Hong Kong	Date of departure from Hong Kong
28 June 2017	17 July 2017
5 September 2017	14 September 2017
4 December 2017	22 December 2017
5 March 2018	22 March 2018
26 March 2018	29 March 2018

C. Other information

Mr Tan was married in 2016, and ordinarily resided in Singapore together with his spouse and his mother (age 75). He also paid a tuition fee equivalent to HK$78,000 to a University in Singapore for a legal examination preparatory course. During his visit to Hong Kong, he stayed in a fully furnished services apartment at the expense of CNHK. During the year, Mr Tan spent nine days in Hawaii together with his family for vacation.

Annex II

Details of staff related circumstances

Share award benefits

On 1 April 2017, Staff A and Staff B were granted 10,000 and 20,000 shares of CNHK ("the Shares") respectively, as share awards with vesting period of one year until 31 March 2018 (the financial year end date of CNHK). Specifically, Staff A and Staff B would be entitled to the entire ownership of the Shares on 31 March 2018 if each of them remained as an employee of CNHK throughout the vesting period. Finally both of them were vested with the Shares on 31 March 2018. To facilitate the award of the Shares to each of the staff, CNHK issued 10,000 new shares to Staff A and acquired 20,000 shares from the stock market for Staff B, on 31 March 2018. The price of the share of CNHK on 1 April 2017 and 31 March 2018 was HK$7.1 and HK$8.1 respectively. In line with the relevant financial reporting standards, CNHK recognised the fair value of the 10,000 new shares issued to Staff A, and the expenses of acquiring 20,000 shares from the stock market collectively in its profit and loss account for the year ended 31 March 2018 as share award expenses.

Termination of employment contract

On 31 December 2017, CNHK terminated the employment of Staff C with immediate effect. Pursuant to the respective employment contract, CNHK paid HK$360,000 to Staff C as termination payment in lieu of three months' notice for the termination of the employment contract.

<u>Question 1</u> **(12 marks – approximately 22 minutes)**

In the contexts of the relevant provisions of the IRO,

(a) **Describe the concessionary tax treatments of the aircraft leasing activities as stipulated in Part A of the case.**

(6 marks)

(b) **Identify the operational requirements of the entity to be established by CNHK as its subsidiary in order to obtain the abovesaid concessionary tax treatments.**

(6 marks)

<u>Question 2</u> **(12 marks – approximately 22 minutes)**

Compute the salaries tax liabilities of Mr Tan for the year of assessment 2017/18 (ignore provisional tax and tax reduction for the year, if any).

(12 marks)

<u>Question 3</u> **(11 marks – approximately 19 minutes)**

(a) **Analyse the salaries tax implications of Staff A and B on their award of shares, and Staff C on the receipt of the payment in lieu of notice of termination of employment respectively.**

(6 marks)

(b) **Analyse the deductibility, from profits tax perspective, of CNHK with respect to the shares award expenses and the payment in lieu of notice of termination of employment to the respective staff members.**

(5 marks)

<u>Question 4</u> **(10 marks – approximately 18 minutes)**

Based on the relevant established legal principles and the practical approach adopted by the Inland Revenue Department ("IRD"), analyse whether the income derived by CNHK from the Taiwan Project can be claimed as offshore in nature and should not be subject to profits tax.

(10 marks)

<u>Question 5</u> **(5 marks – approximately 9 minutes)**

From an ethical perspective, analyse what matters should be considered by Mr Luk (on the basis that he is a member of the Hong Kong Institute of Certified Public Accountants) in accepting the engagement offered by CNHK.

(5 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 6 (12 marks – approximately 22 minutes)

Mr Leung Tai Man ("Big Leung") is the elder brother of Mr Leung Siu Man ("Small Leung"). Their mother is Mrs Leung Chan Mei Lai ("Mrs Leung"). Mrs Leung was born in March 1963. She has all along been residing in Hong Kong. She has not worked for over 10 years as she has been suffering from total loss of eyesight after an accident. However, she has not claimed any allowance under the Government's Disability Allowance Scheme.

In their respective Tax Return – Individuals for the year of assessment 2017/18, both Big Leung and Small Leung claimed disabled dependant allowance ("DDA") and dependent parent allowance ("DPA") in respect of Mrs Leung by declaring, among others, that they resided with Mrs Leung continuously throughout the year.

Required:

(a) Analyse, from the perspective of eligibility for, and entitlement to, the claim for personal allowances with reference to the relevant provisions in Part 5 of the IRO:

(i) whether Big Leung and Small Leung are eligible to claim DPA and DDA in respect of Mrs Leung for the year of assessment 2017/18; and

(ii) what would be the tax implication if both Big Leung and Small Leung claim DPA and DDA in respect of Mrs Leung for the year of assessment 2017/18.

(8 marks)

(b) For each of the scenarios below, determine whether Big Leung is entitled to claim DPA in respect of Mrs Leung for the year of assessment 2017/18. If further documentary evidence is required, advise the document(s) required and the reason(s).

(i) Scenario 1

Big Leung has now agreed with Small Leung that he would claim the DPA in respect of Mrs Leung for the year of assessment 2017/18 while Small Leung would claim the DPA next year.

(ii) Scenario 2

Mrs Leung has nominated Big Leung to claim the DPA for the year of assessment 2017/18 with a letter written by Mrs Leung as evidence.

(4 marks)

Question 7 **(14 marks – approximately 25 minutes)**

Mr Chan Pak Pak ("Mr Chan") owns two shops in Hong Kong, namely Shop A and Shop B. During the year of assessment 2017/18, both shops were let out to derive rental income. The terms of the tenancy agreements and details of the expenses in respect of the two shops are as follows:

	Shop A	Shop B
Lease term	1 April 2017 – 31 March 2019	1 January 2017 – 31 December 2017 (Note)
Monthly rent	HK$23,746	HK$18,000
Items included in monthly rent	Rates and government rent	Rates, government rent, and management fee
Rates	HK$3,750 per quarter	HK$2,700 per quarter
Government rent	HK$2,250 per quarter	HK$1,620 per quarter
Management fee	HK$1,254 per month	HK$1,000 per month
Total sum payable to the landlord	HK$25,000 per month	HK$18,000 per month

Note: Shop B was put up for lease after 31 December 2017 but no tenant could be secured until 1 May 2018.

Required:

(a) **Analyse, with reference to the relevant provisions of the IRO and the practice of the IRD:**

(i) **whether management fee should be included in the assessable value of Shop A and Shop B.**

(ii) **whether management fee can be allowed for deduction when ascertaining the net assessable value of Shop A and Shop B.**

(9 marks)

(b) **Compute the assessable value and net assessable value of Shop A and Shop B for the year of assessment 2017/18.**

(5 marks)

<u>Question 8</u> (14 marks – approximately 25 minutes)

<u>Scenario 1</u>

Property X, being a residential property, was built in December 2012. Its land cost and construction cost are ascertained to be HK$2,000,000 and HK$1,500,000 respectively. Company A purchased Property X from the developer at a price of HK$4,500,000 on 30 June 2013. Company A used Property X as director's quarters throughout the whole ownership period. On 31 December 2017, Company A sold Property X to Company B at a price of HK$8,000,000 (assume land value was HK$5,000,000 at the time of sale). Company B let out Property X on 20 February 2018 at a monthly rent of HK$20,000.

<u>Scenario 2</u>

Property Y, being a residential property, was built in June 1996. Its land cost and construction cost are ascertained to be HK$1,500,000 and HK$1,800,000 respectively. Company C purchased Property Y from the developer at a price of HK$4,000,000 on 31 July 1996. Property Y was let out since acquisition until it was sold to Company D on 30 September 2017 at a price of HK$9,500,000 (assume land value was HK$8,000,000 at the time of sale). Company D purchased Property Y with existing tenancy and continued to let it out afterwards.

(Assume all companies closed their accounts on 31 March annually)

<u>Required:</u>

For each of the two scenarios above, compute the amount of annual allowance (known as rebuilding allowance for years of assessment prior to 1998/99 and commercial building allowance for years of assessment from 1998/99 onwards), balancing allowance and balancing charge made in respect of Property X and Property Y for all years of assessment up to 2017/18.

(14 marks)

<u>Question 9</u> (10 marks – approximately 18 minutes)

Mr Wong has been employed by Company A, a company incorporated and carrying on business in Hong Kong, since 2012 as Sales Manager. He worked full-time in Hong Kong up to the end of 2016. Since 1 January 2017, Mr Wong was assigned to work in the Mainland, at the office of Company B, a subsidiary of Company A in the Mainland, for 200 days during the year for the purposes of expanding the Mainland market.

During the year of assessment 2017/18, Mr Wong received salary in total sum of HK$480,000 from Company A. He also received a bonus of HK$50,000 in December 2017 for the services rendered by him during the year.

In the Tax Return – Individuals for the year of assessment 2017/18, Mr Wong declared that he received income totaled HK$530,000 (HK$480,000 + HK$50,000) from Company A. He claimed that he should be allowed tax relief under the Arrangement between the Mainland of China and the Hong Kong Special Administrative Region for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income (“DTA”), as he had rendered services and paid tax in the Mainland in respect of the income derived from Company A. The Individual Income Tax certificate provided by Mr Wong shows that out of the total salaries of HK$480,000, only HK$100,000 had been reported to the Mainland Tax Authority while the bonus was fully subject to tax in the Mainland.

<u>Required:</u>

(a) Analyse, with reference to the relevant provisions of the IRO and the DTA, whether Mr Wong’s claim for tax relief under the DTA is acceptable, and if so, calculate the possible amount of tax relief allowable to Mr Wong and state the reason(s) thereof.

(5 marks)

(b) Analyse, with reference to the relevant provisions of the DTA, the possible Corporate Income Tax implication on Company A by assigning Mr Wong to work in the Mainland.

(5 marks)

* * * END OF EXAMINATION PAPER * * *